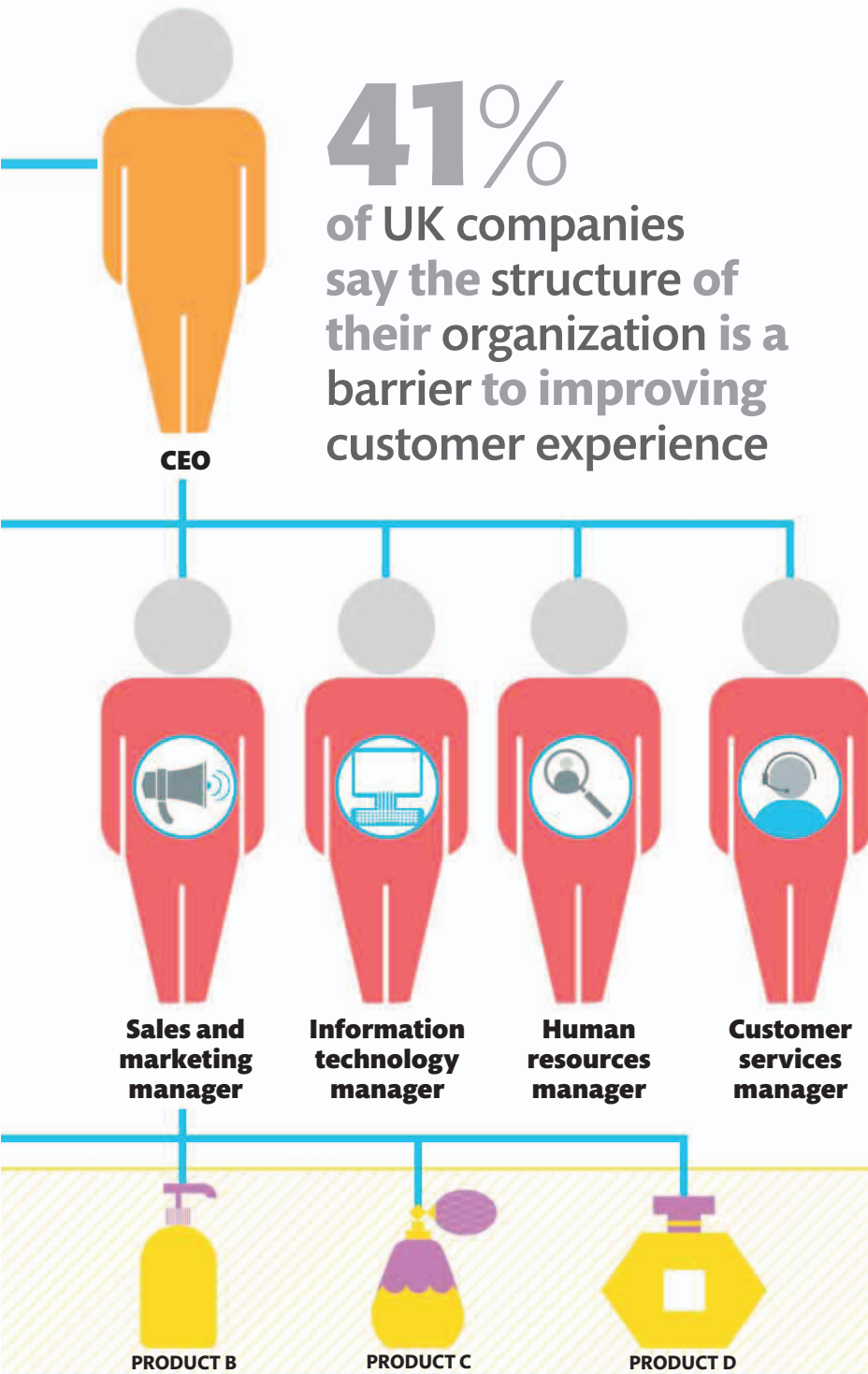




41%
of UK companies
say the structure of
their organization is a
barrier to improving
customer experience

FUNCTIONAL: PROS AND CONS

Pros

- › Allows for the development of specialization and expertise
- › Enables efficient use of resources and potential economies of scale
- › Offers obvious career path for employees in each department
- › Simple, efficient structure for manufacturers producing a limited range of goods for sale

Cons

- › Formal lines of communication; stifles innovation and creativity
- › Departments fail to coordinate efficiently with one another
- › Response time on problems and queries between different departments slow
- › Many decisions referred up to the top, creating a backlog

NEED TO KNOW

- › **Line relationship** Chain of command down the structure
- › **Reporting structure** Who reports to whom
- › **Silo** Pejorative term for a department that works in isolation: a vertical, closed structure like a grain silo